

Management Accounting — Nature, Purpose and Classification of Costs

Course: CPA — Certified Public Accountant

Level: Foundation Level 2

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Syllabus version: Based on the standard KASNEB CPA Foundation Level Management Accounting syllabus topics — nature and purpose of cost/management accounting, the cost accountant's functions, scope of cost accounting, and cost classification. Authored from general professional cost-and-management-accounting knowledge and standard syllabus topic coverage, not copied from any existing notes provider or study guide. Cross-check terminology and emphasis against the current KASNEB syllabus and examiner's reports before the exam.

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1. What is cost accounting?

Cost is the value of resources given up or sacrificed to achieve a specific objective — making a unit of product, running a department, or completing a job.

Cost accounting is the branch of accounting concerned with recording, classifying, and reporting cost information so that management can plan, control, and make decisions. Unlike financial accounting, which looks backward and reports to outsiders, cost accounting is built for insiders and looks both backward (what did it cost?) and forward (what should it cost?).

Four activities sit at the core of cost accounting, in any organisation — manufacturing or service, profit or non-profit:

- **Recording** — capturing and classifying cost data as it is incurred.
 - **Ascertaining/estimating** — working out the cost of a specific product, service, job, or department.
 - **Planning** — setting cost and profit targets, usually expressed as budgets.
 - **Controlling** — comparing actual costs against the plan, investigating variances, and correcting what went wrong.
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2. What is management accounting?

Management accounting is the wider discipline of identifying, measuring, analysing, and communicating financial and operating information to help management plan, direct, and control an organisation. It draws on both financial accounting (historical results) and cost accounting (detailed cost data), then adds tools such as budgeting, standard costing, variance analysis, and decision-support techniques (e.g. make-or-buy, special-order pricing).

Put simply: cost accounting supplies the raw cost data; management accounting interprets that data — alongside financial and non-financial information — to support a decision.

3. Objectives of cost accounting

1. **Cost ascertainment** — collecting, classifying, and computing the cost of a product, job, process, or service. Direct costs are traced straight to the cost object; indirect costs are apportioned on a fair basis.
 2. **Cost control** — setting a standard or budgeted cost, comparing it with the actual cost incurred, and prompting corrective action where the two diverge.
 3. **Price determination** — cost is usually the floor under a selling price; a margin is added on top, subject to what the market will bear.
 4. **Timely internal reporting** — unlike financial statements, which are only finalised at year end, cost records can value stock and report performance at short, regular intervals (weekly or monthly).
 5. **Support for operating decisions** — cost data underpins decisions such as make-or-buy, whether to keep or drop a product line, or whether to automate a process.
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4. Functions of a cost accountant

- Setting up cost centres and cost codes appropriate to the organisation's structure.
 - Ascertaining the cost of every product, job, or process, in total and per unit.
 - Designing a system that assigns clear responsibility for cost control.
 - Supplying cost data to support pricing and tendering decisions.
 - Reporting on waste, idle time, and under-used capacity.
 - Operating cost-control tools such as budgetary control and standard costing.
 - Valuing closing stock of raw materials and work-in-progress.
 - Preparing periodic cost statements and reconciling cost profit with financial profit.
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5. Installing a costing system

A costing system has to be designed around the business, not the other way round — a system that is too elaborate for a small operation simply adds cost without adding insight. Before installation, it helps to look at:

- **The nature of the business** — manufacturing, trading, or service; this shapes which *costing method* fits (job costing, process costing, contract costing, etc.).
- **The product range** — a business with a handful of standard products needs a different system from one making bespoke, one-off items to customer specification.
- **Technical factors** — factory layout, degree of mechanisation, and how production flows from one stage to the next.

- **Organisational factors** — how many management levels exist, and how far responsibility is delegated.
- **Reporting needs** — how often, and to whom, cost information must be reported.

Common practical obstacles when a costing system is first introduced:

- Resistance from operating managers who see it as extra work or as a check on their performance.
- Resistance from existing accounting staff worried about job security or workload.
- The cost of the system itself — installing and running it must cost less than the savings it generates, or it isn't worth having.

6. Scope of cost accounting

Cost accounting is usually described as covering five overlapping areas:

Area	What it covers
Costing	The technique and process of ascertaining cost — collecting and classifying expenses, then allocating/apportioning them to cost objects.
Cost accounting	The formal recording, classification, and reporting of cost data on an ongoing basis.
Cost control	Setting targets, comparing actuals, analysing variances, and taking corrective action.
Budgeting	Preparing a financial blueprint of planned operations, used for both planning and control.
Cost audit	Independently verifying that cost accounts are correct and that the organisation's costing plan has actually been followed.

7. Scope, uses and limitations of management accounting

Scope — management accounting draws on financial accounting, cost accounting, budgeting and forecasting, inventory control, statistical analysis, and internal audit, then packages the output as reports management can act on.

Typical uses:

- Recording transactions and measuring the financial effect of decisions before and after they are made.
- Comparing actual results against budgets and forecasts, and flagging significant variances.

- Supporting pricing, product-mix, and investment decisions with relevant cost data.
- Controlling working capital — cash, stock, and receivables.

Limitations:

- It is only as reliable as the financial and cost data feeding into it — poor source data means poor management information.
- It provides information, not decisions — the judgement still rests with management.
- Interpretation of the same data can differ from one analyst to another, so a degree of subjectivity is unavoidable.
- Introducing or upgrading a management accounting system usually requires reorganising staff roles and reporting lines, which people may resist.

8. Financial accounting vs cost accounting

Similarities — both use double-entry principles, rely on source documents (invoices, vouchers), and are subject to internal checks for accuracy.

Differences:

Basis	Financial accounting	Cost accounting
Purpose	External reporting — shareholders, tax authorities, creditors	Internal reporting — to management
Legal status	Compulsory, governed by statute/reporting standards	Voluntary, unless specifically mandated for an industry
Classification of expense	By nature of expense (rent, salaries, depreciation)	By purpose (which product, job, or department incurred it)
Cost data used	Historical only	Historical, current, and estimated/standard
Profit reported	One figure for the whole entity	Broken down by product, process, or department
Reporting frequency	Usually annual	Frequent — weekly or monthly
Stock valuation	Lower of cost and net realisable value	Usually at cost

9. Cost accounting vs management accounting

Basis	Cost accounting	Management accounting
Main objective	Ascertain and control cost	Support management decision-making
Time orientation	Past and present cost data	Mainly forward-looking
Scope	Narrower — cost ascertainment and control	Broader — includes financial accounts, cost accounts, taxation, and statistics
Users	Both internal management and, indirectly, external parties (e.g. via inventory valuation in the financial statements)	Internal management only
Data type	Mainly quantitative (monetary)	Both quantitative and qualitative
Format	Follows established cost-accounting principles and formats	No fixed format — shaped entirely by what management needs

10. Essentials of an ideal costing system

- **Accurate** — misleading cost data is worse than no cost data.
- **Simple** — avoid unnecessary detail that adds cost without adding insight.
- **Flexible** — able to expand or contract as the business changes.
- **Economical** — the benefit from running it must exceed the cost of running it.
- **Comparable** — consistent enough over time to support trend analysis.
- **Prompt** — cost data has to reach management while it is still actionable.
- **Reconcilable** — cost profit and financial profit should be capable of being reconciled.
- **Equitable** — the basis used to apportion shared/indirect costs must be fair.

11. Cost classification by element

Every product cost is made up of three elements:

- **Direct materials** — materials that become an identifiable, traceable part of the finished product without unreasonable extra effort or cost (e.g. the timber that becomes a table top).
- **Direct labour** — wages of workers whose time is directly and easily traceable to specific units of output (e.g. a machine operator's hours on a specific batch). This is sometimes

called "touch labour."

- **Overheads** — everything else needed to run production that cannot be economically traced to a specific unit: indirect materials (e.g. glue, lubricants), indirect labour (e.g. a maintenance technician's wages), and other indirect expenses (e.g. factory rent, depreciation of plant, factory insurance).

Two important combinations follow from this:

- **Prime cost = Direct materials + Direct labour**
 - **Conversion cost = Direct labour + Manufacturing overhead**
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12. Cost classification by function

- **Production costs** — the material, labour, and overhead costs of actually making the product.
 - **Administration costs** — costs of running the organisation generally, not tied to one function (e.g. head-office salaries, general office costs).
 - **Selling costs** — costs of winning orders (e.g. sales staff salaries, advertising).
 - **Distribution costs** — costs of warehousing and delivering the finished product to the customer.
 - **Finance costs** — the cost of the capital used to fund operations (e.g. loan interest).
 - **Research and development costs** — costs of developing new products or improving existing ones.
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13. Cost classification by behaviour

- **Variable cost** — total cost changes in proportion to activity level; cost per unit stays constant (e.g. direct material cost).
- **Fixed cost** — total cost stays the same within a relevant range of activity, regardless of volume (e.g. factory rent); cost per unit falls as volume rises.
- **Semi-variable (mixed) cost** — has both a fixed element and a variable element (e.g. a machine-maintenance contract with a fixed monthly retainer plus a per-hour usage charge).

This classification is what makes marginal costing, break-even analysis, and short-term decision-making possible — none of which work if every cost is treated as if it moves in exactly the same way.

14. Other classifications used in decision-making and control

- **Controllable vs non-controllable** — whether a named manager can influence the cost within a given period (e.g. a supervisor controls overtime hours but not head-office rent apportioned to their department).
 - **Normal vs abnormal** — normal spoilage/loss is an expected part of the process; abnormal loss falls outside what is expected and is investigated separately.
 - **Historical, estimated, and standard cost** — historical cost is what was actually incurred; estimated cost is a rough forecast; standard cost is a carefully predetermined cost used as a benchmark for control.
 - **Relevant vs irrelevant cost** — for a specific decision, relevant costs are future, incremental, and differ between the alternatives being compared; sunk costs (already incurred) and costs common to every alternative are irrelevant and should be ignored in the decision.
 - **Opportunity cost** — the benefit given up by choosing one alternative over the next-best alternative; it does not appear in the financial ledgers but is central to sound decision-making.
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15. Full worked question — prime cost, conversion cost and unit cost

Scenario. Zawadi Furniture Works produced 500 identical dining chairs during March. The following costs were incurred:

Item	Amount (KES)
Timber (direct material)	450,000
Fabric and foam for seats (direct material)	150,000
Carpenters' wages (direct labour)	300,000
Glue, screws and varnish (indirect material)	20,000
Factory supervisor's salary (indirect labour)	60,000
Factory rent and utilities (overhead)	70,000

Required: Compute (a) prime cost, (b) conversion cost, (c) total production cost, and (d) production cost per unit.

Solution:

(a) **Prime cost** = Direct materials + Direct labour

$$= (450,000 + 150,000) + 300,000$$

$$= 600,000 + 300,000$$

$$= \text{KES } 900,000$$

$$(b) \text{ Manufacturing overhead} = 20,000 + 60,000 + 70,000 = \text{KES } 150,000$$

$$\text{Conversion cost} = \text{Direct labour} + \text{Manufacturing overhead}$$

$$= 300,000 + 150,000$$

$$= \text{KES } 450,000$$

$$(c) \text{ Total production cost} = \text{Prime cost} + \text{Manufacturing overhead}$$

$$= 900,000 + 150,000$$

$$= \text{KES } 1,050,000$$

$$(d) \text{ Production cost per unit} = \text{Total production cost} \div \text{Units produced}$$

$$= 1,050,000 \div 500$$

$$= \text{KES } 2,100 \text{ per chair}$$

Note the overlap: direct labour (KES 300,000) appears in both prime cost and conversion cost — it is not double-counted in the total production cost, since total production cost is built from prime cost plus overhead only, not prime cost plus conversion cost.

16. Self-assessment question bank (with model answers)

Q1. Distinguish cost accounting from management accounting. (4 marks)

Model answer:

- Cost accounting focuses narrowly on ascertaining and controlling cost; management accounting is broader and uses cost, financial, and statistical data to support decisions.
- Cost accounting mainly reports historical and current cost; management accounting is largely forward-looking.
- Cost accounting follows fairly standard formats; management accounting reports are shaped entirely around what a specific decision needs.

Q2. State three objectives of cost accounting. (3 marks)

Model answer: (any three)

- Ascertaining the cost of a product, job, or service.
- Controlling cost through standards/budgets and variance analysis.
- Providing a basis for setting selling prices.

- Enabling frequent (not just annual) reporting and stock valuation.

Q3. Define "prime cost" and "conversion cost." (4 marks)

Model answer:

- Prime cost = direct materials + direct labour.
- Conversion cost = direct labour + manufacturing overhead — the cost of "converting" raw material into a finished unit.

Q4. A factory incurs KES 800,000 direct material, KES 500,000 direct labour, and KES 300,000 manufacturing overhead to produce 1,000 units. Compute the production cost per unit. (4 marks)

Model answer:

- Total production cost = 800,000 + 500,000 + 300,000 = KES 1,600,000
- Cost per unit = 1,600,000 ÷ 1,000 = **KES 1,600**

Q5. Explain the difference between a fixed cost and a variable cost, using one example of each. (4 marks)

Model answer:

- Fixed cost: total remains unchanged within a relevant range of activity, e.g. factory rent — it does not rise just because more units are made.
- Variable cost: total moves in direct proportion to activity, e.g. direct material cost per unit produced.

Q6. What is a semi-variable (mixed) cost? Give one example. (3 marks)

Model answer:

- A cost with both a fixed and a variable component, e.g. a telephone bill with a fixed monthly rental plus a variable charge per call/unit of data used.

Q7. Explain "opportunity cost" and why it matters in decision-making even though it never appears in the financial statements. (3 marks)

Model answer:

- Opportunity cost is the value of the best alternative given up when one option is chosen over another.
- It matters because a decision that looks profitable in isolation may still be the wrong choice if a better alternative use of the same resources was available; ignoring it can lead to sub-optimal decisions.

Q8. State two limitations of management accounting. (2 marks)

Model answer: (any two)

- It is only as good as the underlying financial/cost data.
- It provides information, not the final decision — judgement still rests with management.
- Interpretation can be subjective and vary between analysts.

Q9. List three factors to consider before installing a cost accounting system in a business. (3 marks)

Model answer: (any three)

- Nature of the business/industry.
- Range and complexity of products.
- Organisational structure and levels of delegation.
- Technical factors such as factory layout and degree of mechanisation.

Q10. Distinguish a controllable cost from a non-controllable cost, from the point of view of a departmental supervisor. (3 marks)

Model answer:

- Controllable cost: one the supervisor can influence within their period of responsibility, e.g. overtime hours authorised in their department.
- Non-controllable cost: one outside their influence, e.g. a share of head-office rent apportioned to their department.

17. Exam technique and revision checklist

- Prime cost and conversion cost questions: always separate direct material, direct labour, and overhead **before** combining them — combining too early is the most common source of error.
- When a question asks for "production cost per unit," divide **total production cost**, not prime cost alone, by the number of units.
- Classification questions (fixed/variable/semi-variable, controllable/non-controllable): always justify the classification with a reason, not just a label — examiners award marks for the "why."
- Cost vs management accounting comparison questions: answer in a table or clearly separated bullet points by basis (purpose, scope, time orientation) rather than one long paragraph — it is easier to mark and easier to check your own completeness.
- Keep definitions precise and short; a vague, wordy definition scores worse than a short, accurate one.

Quick revision — one line per topic:

1. Cost accounting ascertains and controls cost; management accounting uses that data (plus more) to support decisions.
 2. Cost accounting's core activities: recording, ascertaining, planning, controlling.
 3. Prime cost = direct materials + direct labour; conversion cost = direct labour + overhead.
 4. Financial accounting classifies expense by nature; cost accounting classifies it by purpose.
 5. Financial accounting reports annually; cost accounting reports frequently (weekly/monthly).
 6. Scope of cost accounting: costing, cost accounting, cost control, budgeting, cost audit.
 7. An ideal costing system is accurate, simple, flexible, economical, and reconcilable with financial accounts.
 8. Fixed cost total is constant per period; variable cost total moves with activity; semi-variable has both elements.
 9. Controllable cost = influenced by the specific manager being assessed, within their period of responsibility.
 10. Opportunity cost never appears in the ledgers but is central to sound decision-making.
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End of study notes. This document is intended as original exam-preparation material and should be used alongside the current official KASNEB syllabus and examiner's reports for the paper.